

BANARAS HINDU UNIVERSITY
B.Com. (Hons.) — Semester I Examination, 2013-14

Paper No. BCH-114: Monetary Theory

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. All questions carry equal marks (14 marks each).

Question 1. Define money and discuss its importance in the present times. [14]

OR

Discuss the various functions of money. [14]

Question 2. What is monetary standard? Discuss the different kinds of monetary standard. [14]

OR

Explain the various forms of gold standard. Can it be restored? [14]

Question 3. Explain the concept of paper money and discuss its merits and demerits. [14]

OR

State the characteristics of a good system of note-issue. To what extent are they present in the Indian system of note-issue? [14]

Question 4. Discuss Fisher's quantity theory of money and mention its limitations. [14]

OR

Write a note on Friedman's theory. [14]

Question 5. What is inflation? Point out its effects on different classes of society. [14]

OR

Distinguish between inflation and deflation. Is deflation worse than inflation? [14]

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